

Hands-On-Learning: Governance Playbook: Building Guardrails for Multi-Agent Systems

Description

Learners will create a lightweight governance playbook for a multi-agent deployment, identifying key risks, defining oversight mechanisms, and drafting basic policies for monitoring, escalation, and accountability. This exercise helps learners practice operationalizing ethics and compliance into concrete, actionable governance structures.

Learning Objectives

By the end of this activity, learners will be able to:

- **Identify** major risks (ethical, operational, regulatory) in a multi-agent scenario.
- **Propose** governance controls (monitoring, fallback, audit trails) to mitigate those risks.
- **Design** a simple escalation workflow for when agents make conflicting or harmful decisions.
- **Justify** their governance choices in terms of safety, compliance, and business continuity.



Assignment Components

Introductory Slide:

- **Title:** Governance in Action - Your Agent Safety Net
- **Subtitle:** "Designing policies and workflows to keep multi-agent systems accountable."

Tools to be used:

- **Any word processors:** Word, Google Docs or Notion (free)
- **Diagram Tool:** draw.io for simple workflow diagram

Scenario

You are the Governance Officer for a financial trading firm deploying a multi-agent system to manage portfolio rebalancing. The system includes Market Watcher Agents, Trade Executors, and a Compliance Agent. Recently, there was a near-miss incident where the agents nearly executed a large, non-compliant trade due to a data delay. Your task is to produce a governance mini-playbook that addresses this incident and prevents future compliance breaches.

Instructions for Learners (Step-by-Step)

Part 1: Building the Agent Chain

- 1** – Identify Key Risks
List at least 3 major risks: regulatory, operational, and reputational.

Outcome: Short bullet list with risk category and 1-line explanation.

- 2** – Define Governance Controls
For each risk, propose one control: e.g., monitoring rule, human-in-the-loop checkpoint, automated alert.

Outcome: Table with Risk → Control → Expected Outcome.

3

- Design Escalation Workflow
Create a simple diagram with decision points (e.g., “If trade > \$X and not approved → escalate to Compliance Officer”).

Outcome: Workflow diagram with clear paths and responsibilities.

4

- Write Policy Summary
Draft a 150–200 word governance statement outlining logging requirements, who reviews alerts, and when manual override is triggered.

Outcome: Policy text ready for inclusion in a governance playbook.

Deliverables for Submission (AI Grading)

Deliverable 1: Primary Work

Question Prompt: "Upload your completed governance playbook components: risk table, control table, and escalation workflow diagram."

Response Type: File Upload

File Types: PDF, PPTX, DOCX, PNG

Deliverable 2: Short methodology

Question Prompt: "Explain briefly how you identified your risks and selected which controls to prioritize (mention at least one trade-off you made)."

Response Type: File Upload or Rich Text

File Types: TXT, PDF, DOCX

Deliverable 3: Analysis

Question Prompt: "Discuss in 100 - 150 words how your governance plan balances compliance, business agility, and system autonomy."

Response Type: Rich Text

File Types: TXT, PDF

Deliverable 4: Reflection

→ **Question Prompt:** "What did you learn about risk management in multi-agent systems, and how would you adapt your playbook for a larger, more complex deployment?"

→ **Response Type:** File Upload

→ **File Types:** TXT, PDF, MP3, MP4

Best Practices for AI-Graded Submission

→ **Specificity:** Clearly name risks (e.g., “Front-running trades,” “Data latency,” “Unauthorized large trade”).

→ **Clarity:** Escalation workflow must include clear decision nodes and responsible parties.

→ **Depth:** Include at least one preventive control and one detective control.

→ **Balance:** Ensure your policy is neither overly restrictive (killing automation) nor too permissive (risking compliance breaches).

Share The Project

Document: Save the report in PDF format.

Upload: Share in the “Peer Review” area of the course shell with a brief description.

Instructions for Documenting and Sharing The Project for Peer Review

1. Document the Project

- Use word processing software to create your report.
- Ensure all sections of the project document structure are completed.
- Proofread and edit your report for clarity and accuracy.

2. Share the Project

- Save your report in PDF format.
- Upload your documents to the “Peer Review” area in the course shell.
- Provide a brief description of your project in the submission post.

Instructions for Documenting and Sharing The Project for Peer Review

3. Peer Review

- Review the projects submitted by your peers.
- Provide constructive feedback and comments on their work.